

BLACKROCK FUNDS I ICAV

INVESTMENT MANAGER'S REPORT (continued)

Fund performance review and activity (continued)

BlackRock Advantage Emerging Markets Equity Fund (continued)

During the financial year the following were the largest contributors to and detractors from the Fund's return relative to the performance measure:

Largest contributors		Largest detractors	
Country	Effect on Fund return	Country	Effect on Fund return
Offshore China ^o	0.55%	India ^o	(1.08%)
Malaysia [#]	0.51%	Taiwan [#]	(0.67%)
Poland ^o	0.34%	United Arab Emirates ^o	(0.45%)
Brazil [#]	0.31%	Russia ^o	(0.45%)
South Africa [#]	0.28%	Qatar ^o	(0.42%)

[#] Overweight position - held more exposure than the performance measure.

^o Underweight position - held less exposure than the performance measure.

Most of the underperformance was generated in underweight positions in India in energy and materials sectors. Overweight in Taiwan in the financial sector has also contributed to losses.

The following table details the significant active positions, where the Fund is overweight (holds more exposure than the performance measure) and underweight (holds less exposure than the performance measure), as at 30 April 2022 and 30 April 2021:

Largest overweight position			
30 April 2022		30 April 2021	
Country	Weighting	Country	Weighting
Taiwan	2.01%	Taiwan	1.52%
South Africa	1.79%	South Africa	1.29%
China	0.93%	Brazil	1.11%

Largest underweight position			
30 April 2022		30 April 2021	
Country	Weighting	Country	Weighting
Qatar	(1.06%)	India	(1.58%)
Brazil	(1.03%)	Qatar	(0.68%)
Offshore China	(1.03%)	Indonesia	(0.63%)

Leadership in the country positions has changed over the period. Main move was to overweight China and underweight Offshore Chinese companies due to the increased activism risk by Chinese government. Elsewhere, there has been a small reshuffle in the underweight positions across countries, with the larger underweight in Qatar that is mostly concentrated around the financials.

BlackRock Advantage Europe Equity Fund

Over the financial year to 30 April 2022, the Fund's active return was 2.81%, outperforming its performance measure (active return is the difference between the Fund's return and the performance measure return).

The Fund outperformed its performance measure over the period greatly supported by the significant gains achieved in 2021. Sentiment insights such as analyst revisions that predict companies' future earnings were key driver of the significant outperformance. Also, insights that identify companies with more sustainable behaviour and activities were additive at the beginning of the period. However, the onset of the war in Ukraine has brought in considerable uncertainty, triggering an unprecedented chain of events from rising energy prices, supply chain pressures as well as the exit of many European companies from Russia. The performance has been affected across most areas in the Fund's investment approach. Traditional valuation measures that look at the earnings and future profitability of companies was one of the few measures that still contributed to the returns. However, previously successful sentiment and top-down macro views have struggled. In addition, the insights that identify companies with more sustainable behaviour were challenged as they exhibited negative correlation to rising energy prices.

During the financial year the following were the largest contributors to and detractors from the Fund's return relative to the performance measure:

Largest contributors		Largest detractors	
Country	Effect on Fund return	Country	Effect on Fund return
Germany ^o	1.30%	Switzerland ^o	(0.25%)
Sweden [#]	0.53%	France [#]	(0.18%)
Great Britain ^o	0.43%	Austria [#]	(0.11%)
Netherlands [#]	0.42%	Belgium ^o	(0.09%)
Italy ^o	0.32%	Finland [#]	(0.07%)

[#] Overweight position - held more exposure than the performance measure.

^o Underweight position - held less exposure than the performance measure.